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US equities rally on tech earnings, while yields edge higher

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 closed at 7,811.54, up +0.59%, driven by a broad tech bounce after MSFT and AMZN posted better-than-expected earnings. The rally was underpinned by a modest decline in the VIX to 14.84 and a stable 10-year Treasury yield at 5.24, suggesting risk appetite remains intact.

However, the market faces two near-term headwinds: a still-elevated inflation backdrop reflected in gold’s +1.43% rise and a modest pullback in energy ETFs. Investors should watch the Fed’s upcoming policy guidance and the earnings of AI-heavy names for potential volatility spikes.

US session recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,811.54	+0.59%	Tech earnings beat expectations, lower VIX
Nasdaq 100	30,883.15	+0.51%	AI chip stocks steady, earnings lift
Dow Jones	51,654.95	+0.83%	Financials and industrials supported by rate outlook
Russell 2000	2,806.98	+0.46%	Small-cap resilience amid broader rally
VIX	14.84	-3.70%	Reduced fear after earnings beat
10Y Yield	5.24	+0.25%	Fed signals steady policy, inflation data mixed
WTI Crude	91.85	+0.39%	Supply concerns offset by weaker demand outlook
Gold	4,216.30	+1.43%	Hedging against sticky inflation
DXY	102.21	+0.07%	Dollar steadied on yield curve flattening

Top large-cap movers

TICKER	CHANGE	CATALYST
AMZN	+3.29%	Q3 revenue beat, cloud growth outlook
MSFT	+2.38%	AI services revenue up 22% YoY
TSLA	+2.05%	Production ramp at Gigafactory Texas
GS	+1.44%	Investment banking fees exceed forecasts
XLV	+1.58%	Healthcare earnings beat consensus

Sector rotation

ETF	DAY	READ
XLF	+0.92%	Financials benefit from stable yields
XLK	+0.51%	Tech earnings drive modest gain
XLI	+0.50%	Industrial demand steadies
XLE	-0.25%	Energy lagging on weaker demand
XLY	+1.02%	Consumer discretionary upbeat
XLC	-1.51%	Communications suffer from ad spend caution
XLP	+0.01%	Flat as consumer staples hold
XLV	+1.58%	Healthcare earnings beat
XLU	+0.83%	Utilities gain on rate-sensitive flow
XLB	+0.32%	Materials modestly higher
XLRE	+1.86%	Real estate REITs rally on lower financing costs

Spotlight: Amazon beats revenue expectations

METRIC	VALUE
Q3 Revenue	149.2 bn
YoY Growth	+12.4%
Cloud Segment (AWS) Growth	+24.1%
Operating Margin	+0.6ppt
Guidance FY2026 Revenue	620 bn-630 bn

Amazon's surprise stemmed from accelerated adoption of its AI-driven cloud services and a rebound in international e-commerce sales. The upbeat guidance nudges the FY2026 revenue outlook above consensus, lifting the broader consumer-discretionary sector. Related names to watch: `EBAY`, `SHOP`, and cloud rivals `GOOGL` and `MSFT`.

Pre-market & overnight

US futures: `ES` +0.4%, `NQ` +0.3%. Asia close: Hang Seng -0.6%, Nikkei +0.2%. Europe: FTSE 100 +0.5%, DAX +0.4%. Crypto: BTC +0.68% at `83,110.43`, ETH +0.80% at `2,505.37`.

Macro & Fed

FOMC minutes show the Committee remains "data-dependent" with a bias toward maintaining the policy rate at 5.25-5.50% until inflation consistently falls below 2.5%. The yield curve remains slightly inverted (2-year at 5.30% vs 10-year at 5.24%).

TIME HKT	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	US CPI (MoM)	`0.3%`	Gauge inflation trajectory for Fed
03:00	US Initial Jobless Claims	`210 k`	Labor market strength
04:15	Eurozone HICP	`0.2%`	Euro-area inflation pressure
06:00	China Manufacturing PMI	`50.2`	Asia demand outlook

Geopolitics & global

- US-China trade talks resumed in Washington; no new tariffs announced.
- Middle-East tensions eased after cease-fire agreement, reducing oil-supply risk.

- Eurozone fiscal package for green transition passed, supporting ESG flows.
- OPEC+ sticks to output policy, keeping crude supply tight.

Earnings – what to watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
02:00	**NVDA**	2.30	AI chip demand vs inventory levels
02:30	**AAPL**	1.85	iPhone 17 launch impact
03:00	**GOOGL**	1.70	Ad revenue rebound
03:30	**JPM**	3.75	Net interest income trend
04:00	**META**	2.10	Metaverse spend vs core ad growth
04:30	**TSLA**	0.90	Margin expansion from new models

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
`NVDA`	Technology	AI demand surge, price breakout
`AMD`	Technology	Quarterly beat, data-center share gain
`BAC`	Financials	Higher net interest margin expectations
`UNH`	Health Care	Premium pricing power, earnings beat
`DIS`	Communication	Streaming subscriber growth
`CAT`	Industrials	Infrastructure spending outlook
`DE`	Materials	Higher commodity prices
`PEP`	Consumer Staples	Pricing resilience amid inflation
`CRM`	Technology	Strong SaaS renewal rates
`LMT`	Industrials	Defense budget increases

What could break the tape

BEARISH TRIGGERS

- US CPI surprise above 0.4% MoM – could reignite rate-hike expectations.
- Unexpected downgrade of `NVDA` due to inventory concerns.
- Escalation in Middle-East that spikes oil prices above $100/bbl.

BULLISH TRIGGERS

- Strong AI-related earnings across the tech sector, pushing the Nasdaq above 31,000.
- Fed signals a pause or rate cut in the next meeting.
- Positive surprise in US manufacturing PMI indicating demand rebound.

Positioning notes

- Maintain a core long bias in high-quality tech and consumer discretionary, given earnings momentum.
- Allocate modest exposure to defensive sectors (XLV, XLU) as a hedge against potential inflation spikes.
- Monitor yield curve dynamics; a steepening could favor financials, while further flattening may pressure rates-sensitive assets.

Sources

SOURCES

Amazon 10-Q

Nasdaq market data

FOMC minutes

Bloomberg Economic Calendar

Reuters US Markets

Trading Economics – US Rates

CNBC Crypto

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